

Amendment No. 3 to SB2171

Bailey
Signature of Sponsor

AMEND Senate Bill No. 2171

House Bill No. 1898*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 68, is amended by adding the following as a new chapter:

68-107-101.

This chapter is known and may be cited as the "Artificial Intelligence Public Safety and Child Protection Transparency Act".

68-107-102.

As used in this chapter:

(1) "Affiliate" means a person controlling, controlled by, or under common control with a specified person, directly or indirectly, through one (1) or more intermediaries;

(2) "Artificial intelligence model" means a machine-based system that can, for a given set of human-defined objectives, make predictions, recommendations, or decisions influencing real or virtual environments and that is capable of using machine- and human-based inputs to perceive real and virtual environments, abstract such perceptions into models through analysis in an automated manner, and use model inference to formulate options for information or action;

(3) "Child safety incident" means a covered chatbot engaging in behavior when interacting with a minor that, if the behavior had been engaged in by a human, would be deemed to intentionally or recklessly cause death or bodily

injury to such minor or damage to the mental health of such minor that constitutes severe emotional distress;

(4) "Child safety plan" means a documented technical and organizational protocol to manage, assess, and mitigate child safety risks;

(5) "Child safety risk" means a material and foreseeable risk that a frontier developer's foundation model, when used as part of a covered chatbot operated by the frontier developer, will engage in behavior when interacting with a minor that, if it had been engaged in by a human, would be deemed to intentionally or recklessly cause:

(A) Death or bodily injury to the minor, including as a result of self-harm; or

(B) Cause damage to the mental health of such minor that constitutes severe emotional distress;

(6) "Covered chatbot":

(A) Means a service that:

(i) Allows an ordinary person to have conversations where humanlike responses are generated by a foundation model;

(ii) Is foreseeably likely to be accessed by minors; and

(iii) Has at least one million (1,000,000) monthly active users; and

(B) Does not include:

(i) Software that operates solely for the purpose of customer service, business operations, productivity and analysis related to source information, internal research, or technical assistance, regardless of the software's capability to use natural language inputs and generate natural language outputs;

(ii) Software that is incorporated into a video game and cannot discuss topics related to mental health, self-harm, or sexually explicit content, or maintain a dialogue on other topics unrelated to the video game; or

(iii) Software that operates solely in connection with a specific physical location, such as a theme park or location-based experience, including services related to visiting or accessing such location, at physical events, or for the promotion, marketing, or exhibition of a film, television program, or other audiovisual work, and which cannot maintain a dialogue on topics unrelated to the physical location, event, or such work;

(7) "Foundation model" means an artificial intelligence model that is:

- (A) Trained on a broad data set;
- (B) Designed for generality of output; and
- (C) Adaptable to a wide range of distinctive tasks;

(8) "Frontier developer":

(A) Means a person who has used, or initiated the use of, a quantity of computing power of at least 10^{26} integer or floating-point operations to train a frontier model, including computing used for the original training run and for any subsequent fine-tuning, reinforcement learning, or other modifications the person applies; and

(B) Does not include an accredited college or university to the extent that the college or university is developing or using frontier models exclusively for academic research purposes;

(9) "Frontier model" means a foundation model that was trained using a quantity of computing power greater than 10^{26} integer or floating-point operations; for purposes of determining the computing power, the quantity of

computing power includes computing for the original training run and for any subsequent fine-tuning, reinforcement learning, or other material modifications the developer applies to a preceding foundation model;

(10) "Large chatbot provider" means a person who makes a covered chatbot available in this state and who, together with the person's affiliates, collectively had an annual revenue of twenty-five million dollars (\$25,000,000) or more;

(11) "Minor" means an individual who has not yet attained eighteen (18) years of age;

(12) "Monthly active users" means the total global number of unique users who have directly interacted with a service at least once in the preceding thirty (30) days, whether or not those users have registered accounts with the service;

(13) "Person" means an individual, executor, administrator, or other personal representative, or a corporation, partnership, association, or any other legal or commercial entity, whether or not a citizen or domiciliary of this state and whether or not organized under the laws of this state; and

(14) "Property" means tangible or intangible property.

68-107-103.

(a) A large chatbot provider shall write, implement, comply with, and clearly and conspicuously publish on its internet website a child safety plan that describes in detail how the large chatbot provider:

(1) Assesses potential for child safety risks;

(2) Applies mitigations to address the potential for child safety risks based on the results of the assessments undertaken pursuant to subdivision

(a)(1);

(3) Uses third parties to assess the potential for child safety risks and the effectiveness of mitigations of child safety risks;

(4) Incorporates national standards, international standards, and industry-consensus best practices into the large chatbot provider's child safety plan;

(5) Revisits and updates the child safety plan, including any criteria that trigger updates and how the large chatbot provider determines when its foundation models are substantially modified enough to require disclosures pursuant to subsection (c);

(6) Identifies and responds to child safety incidents; and

(7) Institutes internal governance practices to ensure implementation of the child safety plan.

(b) If a large chatbot provider makes a material modification to the large chatbot provider's child safety plan, then the large chatbot provider shall clearly and conspicuously publish the modified child safety plan and a justification for the modification within thirty (30) days of making the material change.

(c)

(1) Before, or concurrently with, integrating a new foundation model, or a version of an existing foundation model that has been substantially modified, into a covered chatbot operated by a large chatbot provider, the large chatbot provider shall conspicuously publish on the large chatbot provider's internet website summaries of:

(A) Assessments of child safety risks conducted pursuant to the large chatbot provider's child safety plan;

(B) The results of the assessments;

(C) The extent to which third-party evaluators were involved in the assessments; and

(D) Other steps taken to fulfill the requirements of the child safety plan.

(2) A large chatbot provider is not required to make a disclosure required under subdivision (c)(1) when integrating a modified version of an existing foundation model into its covered chatbot if:

(A) The modification to the foundation model was made by a person unaffiliated with the large chatbot provider, including the original developer of the foundation model;

(B) The modification does not increase child safety risks from the covered chatbot; or

(C) The modification was made automatically as part of a continuous learning process and the large chatbot provider has made a disclosure pursuant to subdivision (c)(1) with respect to the foundation model in the preceding ninety (90) days.

(d)

(1) A large chatbot provider shall not make a materially false or misleading statement or omission about:

(A) Child safety risks from the large chatbot provider's activities;

or

(B) The large chatbot provider's management of child safety risks.

(2) A large chatbot provider shall not make a materially false or misleading statement or omission about its implementation of, or compliance with, a child safety plan.

(3) Subdivisions (d)(1) and (2) do not apply to a statement that was:

(A) Made in good faith; and

(B) Reasonable under the circumstances.

(e)

(1) When a large chatbot provider publishes a document to comply with this section, the large chatbot provider may make redactions to the document that are necessary to protect the large chatbot provider's trade secrets or cybersecurity, or public safety, the national security of the United States, or to comply with federal or state law.

(2) If a large chatbot provider redacts information in a document pursuant to subdivision (e)(1), the large chatbot provider must:

(A) Describe the character and justification of the redaction in any published version of the document, to the extent permitted by the concerns that justify redaction; and

(B) Retain the unredacted information for at least five (5) years.

68-107-104.

(a) The attorney general and reporter shall establish a form and means by which a large chatbot provider or member of the public may report a child safety incident. The form and means must allow the report to include, at a minimum:

- (1) The date of the child safety incident;
- (2) The reasons the incident qualifies as a child safety incident; and
- (3) A short and plain statement describing the child safety incident.

(b) A large chatbot provider shall report any child safety incident pertaining to one (1) or more of the large chatbot provider's covered chatbots to the attorney general and reporter within fifteen (15) days of discovering the child safety incident.

(c)

(1) The attorney general and reporter may transmit reports of child safety incidents and reports from employees made pursuant to this section to the general assembly, governor, federal government, or appropriate state agencies.

(2) The attorney general and reporter may consider any risks related to trade secrets, public safety, cybersecurity of a large chatbot provider, or national security when transmitting such reports.

(d) For purposes of subsection (e), the department of safety, in consultation with the office of the attorney general and reporter, Tennessee bureau of investigation, and the department of finance and administration, shall promulgate rules designating one (1) or more federal laws or guidance documents that:

(1) Impose or state standards or requirements for child safety incident reporting that are substantially equivalent to or stricter than those required by this section for child safety incidents; provided, that the law or guidance document does not need to require child safety incident reporting to this state; and

(2) Are intended to assess, detect, or mitigate child safety risks.

(e)

(1) A large chatbot provider that intends to comply with all or part of this section by complying with the requirements of, or meeting the standards stated by, a federal law or guidance document designated pursuant to subsection (d) shall declare the large chatbot provider's intent to do so to the attorney general and reporter and the department of safety.

(2) After a large chatbot provider has declared its intent pursuant to subdivision (e)(1), then to the extent that the large chatbot provider meets the standards of, or complies with the requirements imposed or stated by, the designated federal law or guidance document, the large chatbot provider is in compliance with any obligation under this section that pertains to child safety incident obligations, if the designated law, regulation, or guidance document is intended to assess, detect, or mitigate child safety risk, until the large chatbot provider revokes the declaration provided pursuant to subdivision (e)(1) to the attorney general and reporter and the department of safety, or the department of

safety removes the applicable federal law or guidance document from the rules pursuant to subsection (f).

(3) If a large chatbot provider declares an intention to comply with this section through compliance with a federal law or guidance document designated pursuant to subsection (d), then the failure by the large chatbot provider to meet the standards of or comply with the federal law or guidance document constitutes a violation of this chapter if the large chatbot provider is not otherwise in compliance with this section.

(f) The department of safety shall promulgate rules as necessary to ensure that a federal law or guidance document designated pursuant to subsection (d) continues to meet the requirements of subsection (d), and shall update the rules as soon as practicable to remove a previously designated federal law or guidance document if the federal law or guidance document no longer meets the requirements of subsection (d).

68-107-105.

(a) A large chatbot provider that violates this chapter is subject to a civil penalty of not more than fifty thousand dollars (\$50,000) per violation.

(b) Enforcement of this chapter is vested exclusively in the office of the attorney general and reporter.

68-107-106.

The loss of value of equity does not count as damage to or loss of property for the purposes of this chapter.

68-107-107.

The duties and obligations imposed by this chapter are cumulative with any other duties or obligations imposed under another law and do not:

- (1) Relieve any party from any duties or obligations imposed under another law; or
- (2) Limit any rights or remedies under existing law.

SECTION 2. Tennessee Code Annotated, Section 10-7-504, is amended by adding the following as a new subsection:

(gg) A notification submitted under § 68-107-104(b) is not open for public inspection.

SECTION 3. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. This act takes effect July 1, 2027, the public welfare requiring it, and applies to conduct occurring on or after that date.